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Debt Funds : Credit Risk Fund

Higher returns sound exciting?

But they come with **Credit Risk Funds**!"

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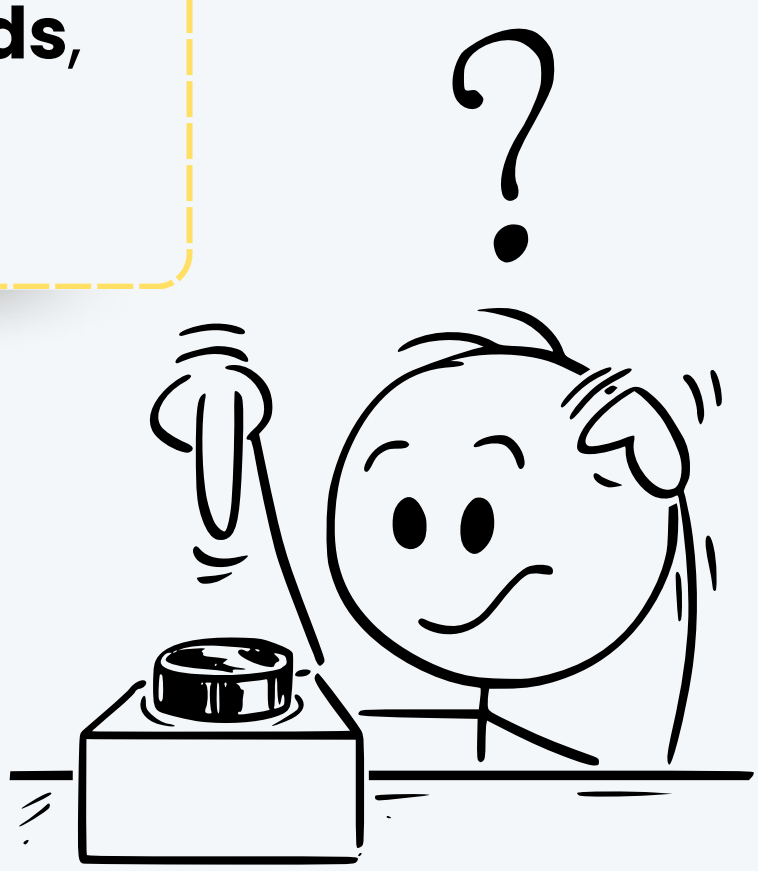
Debt Funds : Credit Risk Fund

What are Credit Risk Funds?

- A **Debt Mutual Fund** type.
- Must invest **minimum 65%** in **lower-rated corporate bonds (AA & below)**.
- Strategy: Earn **higher returns from higher yields**, but risk of **default exists**.



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Debt Funds : Credit Risk Fund

Where do they invest?

- **AA** & below-rated Corporate Bonds
- Debentures of private companies
- **NBFC Bonds**
- Lesser-known issuers with **higher interest payouts.**
- **High yield = High risk.**

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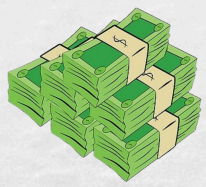
Debt Funds : Corporate Bond Fund

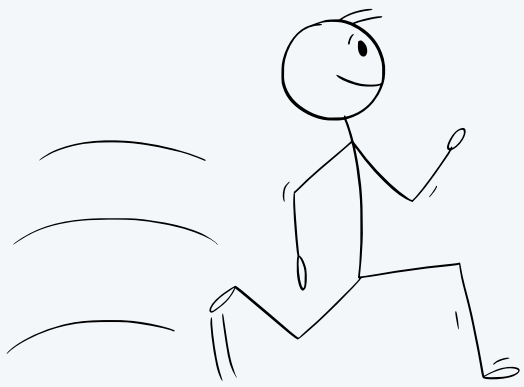
Benefits of Corporate Bond Funds



Can provide diversification beyond **traditional debt/FDs.**

Potential for **much higher returns** vs other debt funds.

Attractive for investors with **higher risk appetite**.



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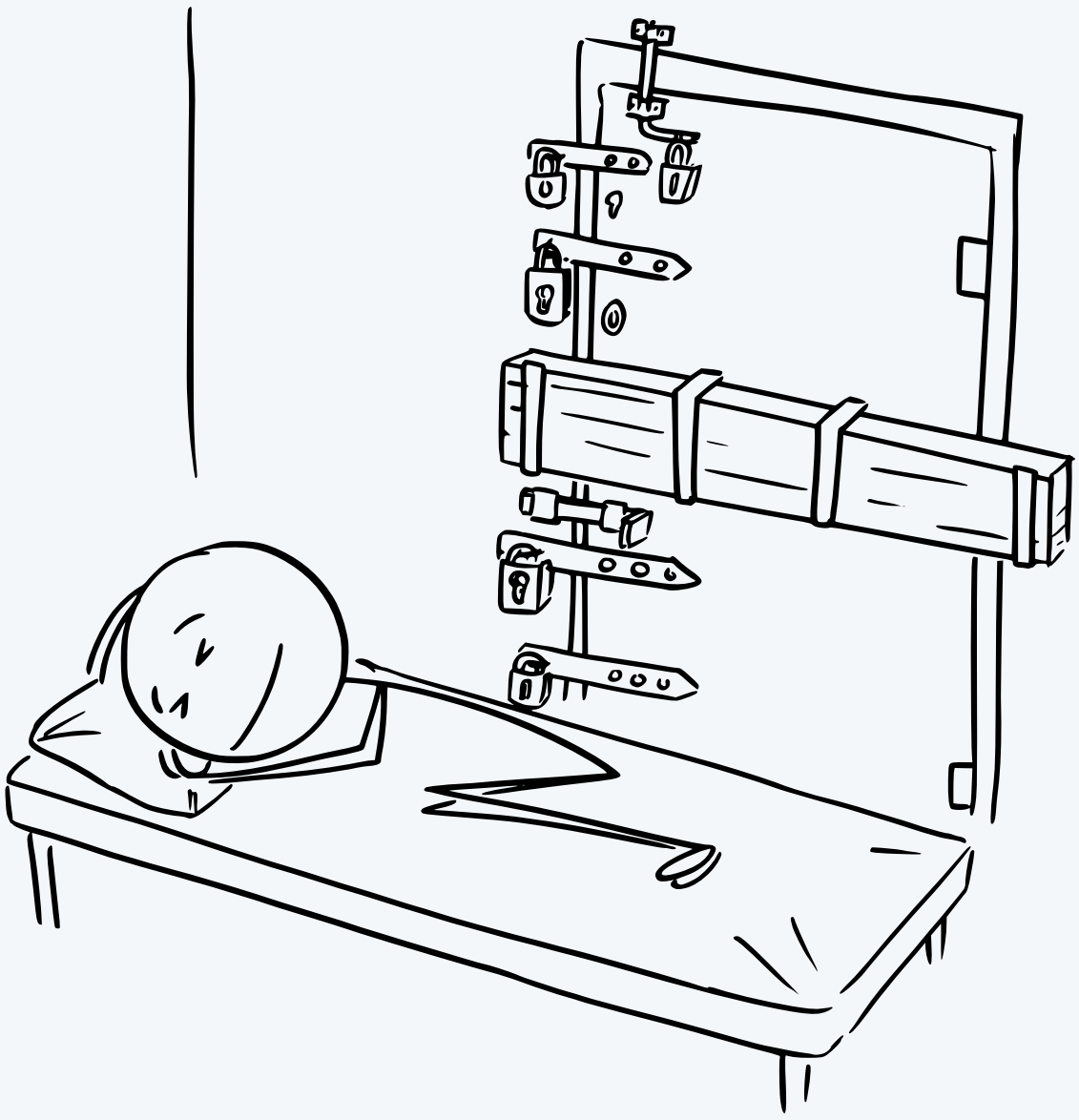
Risks & Considerations

Every Investment Has Risks



Interest Rate Risk: Still applies, though secondary vs credit quality.

Liquidity Risk: Lower-rated bonds may be hard to sell in crises.

Default Risk: Companies may fail to repay.

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Lock-in & Exit

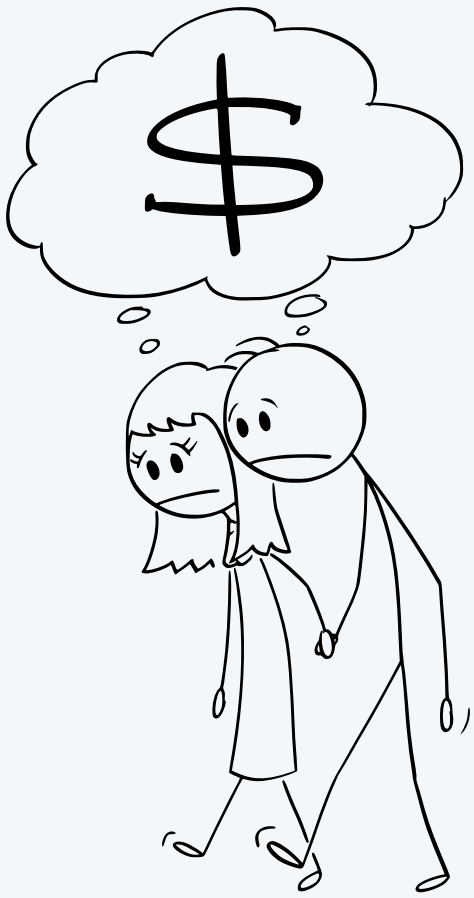
Savings & Easy Exit

Lock-in

None.

Exit load

Depends on fund (often 1–3 years suggested).



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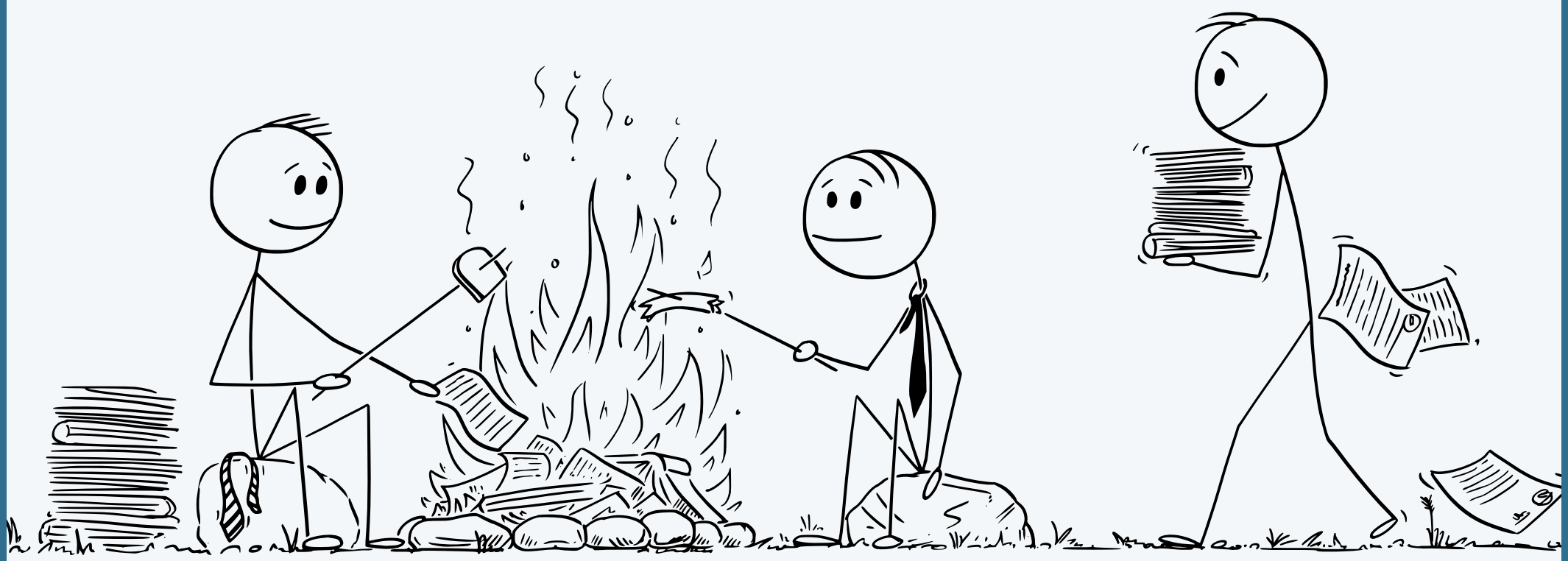
Who should invest?

Only for investors with **high risk appetite**.

Best if you understand **credit quality** & can digest volatility.

Suitable for those seeking **extra returns vs safer debt funds**.



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